

- The company's growth rate has been slowing down, and though it's been maintaining profits by cutting costs, future cost-cutting opportunities are limited.

## WHEN TO SELL A CYCLICAL

The best time to sell is toward the end of the cycle, but who knows when that is? Who even knows what cycles they're talking about? Sometimes the knowledgeable vanguard begins to sell cyclical a year before there's a single sign of a company's decline. The stock price starts to fall for apparently no earthly reason.

To play this game successfully you have to understand the strange rules. That's what makes cyclical so tricky. In the defense business, which behaves like a cyclical, the price of General Dynamics once fell 50 percent on higher earnings. Farsighted cycle-watchers were selling in advance to avoid the rush.

Other than at the end of the cycle, the best time to sell a cyclical is when something has actually started to go wrong. Costs have started to rise. Existing plants are operating at full capacity, and the company begins to spend money to add to capacity. Whatever inspired you to buy XYZ between the last bust and latest boom ought to clue you in that the latest boom is over.

One obvious sell signal is that inventories are building up and the company can't get rid of them, which means lower prices and lower profits down the road. I always pay attention to rising inventories. When the parking lot is full of ingots, it's certainly time to sell the cyclical. In fact, you may be a little late.

Falling commodity prices is another harbinger. Usually prices of oil, steel, etc., will turn down several months before the troubles show up in the earnings. Another useful sign is when the future price of a commodity is lower than the current, or spot, price. If you had enough of an edge to know when to buy the cyclical in the first place, then you'll notice the price changes.

Competition businesses are also a bad sign for cyclical. The outsider will have to win customers by cutting prices, which forces everyone else to cut prices and leads to lower earnings for all the producers. As long as there's strong demand for nickel and nobody to challenge Inco, Inco will do fine, but as soon as demand slackens or rival nickel producers begin to sell nickel, Inco's got problems.

Other signs:

- Two key union contracts expire in the next twelve months, and labor leaders are asking for a full restoration of the wages and benefits they gave up in the last contract.
- Final demand for the product is slowing down.
- The company has doubled its capital spending budget to build a fancy new